

Nykaa Marketing Campaign Performance Report

1. Executive Summary

This analysis evaluates Nykaa's digital marketing campaigns across multiple online channels and audience segments over the period from 1st July 2024 to 22nd June 2025. During this period, Nykaa generated approximately ₹494M in revenue and 1M conversions, with an overall ROAS of 1.33Kx and an overall conversion rate of 21.81%.

Performance is concentrated in a few high-impact channels and audience segments: channels such as Instagram and Whatsapp drive a large share of revenue, while audience groups such as College Students and Tier 2 City Customers show strong conversion and engagement. At the same time, several campaigns and channels show sub-par ROAS or high CPA, suggesting opportunities to reallocate budget or improve targeting and creatives.

2. Channel and Audience Performance

2.1 Channel Performance

Using the Campaign Performance page, total revenue and efficiency were analyzed by channel.

Top Revenue Channels

Instagram is the largest revenue driver with approximately ₹3,10,71,381 in revenue, indicating efficient monetization of spend. Whatsapp follows with roughly ₹2,95,66,414 in revenue, also above the portfolio average. Together, these top channels contribute around 12.28% of total revenue.

Under-Performing Channels

Channels such as Google and Facebook show lower ROAS (e.g., Google ROAS ~1.18x and CPA ~₹0.35; Facebook ROAS ~1.20x and CPA ~₹0.34) relative to the portfolio average of 1.33x ROAS and ₹0.37 CPA. These channels still generate impressions and clicks, but the conversion efficiency is noticeably weaker, suggesting that budget deployed here could achieve better returns if shifted toward stronger channels.

2.2 Audience Segment Performance

The donut chart and matrix by Target Audience highlight which segments respond best.

High-Value Segments

College Students contributes approximately ₹105M (about 21.28% of total revenue) with solid conversion performance. Tier 2 City Customers shows similar strength, generating around ₹103M (20.88% of revenue) with competitive CPA and ROAS.

Lower-Performing Segments

Youth and Working Women show lower revenue contribution and weaker conversion rates compared with the above segments, despite comparable impressions (around ₹94M and ₹93M, or 19.08% and 18.83% of revenue respectively). This suggests that targeting and messaging for these audiences may need refinement, or budgets should prioritize higher-value segments first.

3. Funnel Performance

3.1 Overall Funnel

Total Impressions: ~54,639,578. Total Clicks: ~4,598,306, giving a click-through rate (CTR) of approximately 8.4%. Total Leads: ~1,825,692, representing a Click Lead conversion rate of about 39.7%. Total Conversions: ~1,002,921, corresponding to a Lead Conversion rate of about 54.9% and an overall Impression Conversion rate of 1.8%. The largest drop-off is observed between Impressions Clicks, indicating that creatives and audience fit are a key optimization area.

3.2 Funnel by Channel

The channel-level funnel matrix shows meaningful differences.

Strong Funnel Channels

Instagram maintains a healthy flow from impressions to conversions, with CTR of ~9.0%, Click Lead conversion of ~40.8%, and Lead Conversion of ~58.2%. WhatsApp similarly converts well across the funnel and aligns with its strong ROAS numbers.

Weak Funnel Channels

Google has reasonable CTR but poor Click Lead conversion, implying that users click the ads but do not complete the next step. Facebook shows relatively low CTR; fewer users click through despite high impressions, indicating creative or audience mismatch. These differences justify channel-specific optimization strategies.

4. Campaign-Level Recommendations

Campaigns have been categorized based on ROAS visuals to determine where to scale, fix, or stop activity.

4.1 Campaigns to Scale or Protect

NY-CMP-1227 SEO / Email, WhatsApp, Facebook

ROAS ~28.75x and CPA around ₹0.03. Recommendation: Increase budget by ~25%, monitor marginal ROAS, and test incremental scaling.

NY-CMP-1316 SEO / Instagram, YouTube

ROAS ~27.90x and steady lead flow. Recommendation: Maintain or expand budget, and consider replicating creative patterns to similar segments.

NY-CMP-1220 SEO / Email

High ROAS ~27.05x. Recommendation: Protect current budget and prioritize this campaign in always-on plans.

4.2 Campaigns to Fix or Pause

NY-CMP-1302 Influencer / YouTube

ROAS ~2.83x. Recommendation: Run tests on new creatives and targeting. If no improvement in 46 weeks, gradually pause or reduce budget.

NY-CMP-1469 Social Media / Facebook, YouTube

Weak conversion rates. Recommendation: Review landing page experience and tighten targeting to better-qualified audiences.

NY-CMP-1527 Paid Ads / WhatsApp, YouTube, Email

CPA ~₹0.55. Recommendation: Cap spend or reallocate to top campaigns unless there is specific strategic brand value.

5. Strategic Next Steps

The following actions are recommended to continue improving performance:

1. Build structured experimentation for underperforming campaigns.
2. Refine channel mix and rebalance spend monthly based on ROAS/CPA thresholds.

3. Enhance funnel tracking with device and placement granularity.
4. Operationalize the dashboard for weekly performance reviews.

Conclusion

The analysis shows that Nykaas marketing program contains several high-performing components. By scaling proven campaigns and addressing funnel weaknesses, Nykaa can improve overall efficiency and drive more revenue at a lower cost per acquisition.